CHAPTER 13

Competition

Section A

Antitrust and Mergers

Article 13.1

Principles

The Parties recognise the importance of undistorted competition in their trade and investment relations. The Parties acknowledge that anti-competitive business practices have the potential to distort the proper functioning of markets and undermine the benefits of this Agreement.

Article 13.2

Legislative framework

1. The Parties shall maintain competition law which applies to all sectors of the economy[1] and addresses all of the following practices:

   (a) horizontal and vertical agreements between enterprises, and concerted practices which have as their object or effect the prevention, restriction or distortion of competition[2];

   (b) abuses by one or more enterprises of a dominant position; and

   (c) mergers and acquisitions between enterprises which significantly impede effective competition.

2. All enterprises, including private and public enterprises, shall be subject to the competition law referred to in this Article. For the Union, the application of competition law does not obstruct the performance, in law or in fact, of particular tasks of public interest that may be assigned to the enterprises in question. Any limitations to the application of the competition law of a Party shall be confined to tasks of public interest and not go beyond what is strictly necessary to achieve the task of public interest and transparent.

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[1] For greater certainty, competition rules in the Union apply to the agricultural sector in accordance with Regulation 1308/2013 of the European Parliament and Council establishing a common organisation of the markets in agricultural products and its subsequent amendments or replacements, if any (Official Journal L347/2013).

[2] For the Union, these include also decisions by associations of enterprises.

Article 13.3

Implementation

1. Each Party shall maintain and develop an operationally independent authority responsible for, and appropriately equipped with the powers and resources necessary for, the full application and the effective enforcement of the competition law referred to in Article 13.2 (Legislative framework).

2. The Parties shall apply their respective competition law in a transparent and non-discriminatory manner, respecting the principles of procedural fairness and rights of defence of the enterprises concerned, irrespective of their nationality or ownership status.

Article 13.4

Cooperation

1. In order to fulfil the objectives of this Agreement and to enhance the effectiveness of competition enforcement, the Parties acknowledge that it is in their common interest to strengthen cooperation with regard to competition policy development and the investigation of antitrust and merger cases in a manner compatible with their respective laws, regulations, important interests and available resources.

2. For this purpose, the competition authorities of the Parties shall endeavour to consult and exchange non-confidential information on their implementation of competition laws, policies, and practices. Where possible and appropriate, the competition authorities of the Parties may coordinate their enforcement activities relating to the same or related cases.

3. Nothing in this Article shall limit the discretion of the Parties' competition authorities to take action with respect to particular cases, and to decide whether to take action on particular requests by the other Party's competition authority.

Article 13.5

Confidentiality

1. When exchanging information under this Section the Parties shall take into account the limitations imposed by their respective laws and regulations concerning professional and business secrecy and shall ensure the protection of business secrets and other confidential information.

2. When a Party communicates information under this Section, the receiving Party shall maintain the confidentiality of the communicated information.

Article 13.6

Dispute Settlement

Chapter 22 (Dispute Settlement)]does not apply to this Section.

Section B

Subsidies

Article 13.7

Principles

1. The Parties agree that subsidies can be granted by a Party when they are necessary to achieve a public policy objective. The Parties recognise, however, that in certain circumstances certain subsidies may have the potential to distort the proper functioning of markets and undermine the benefits of trade between parties. In principle, subsidies granted to enterprises should not be granted by a Party when they are likely to distort[3] markets.

Article 13.8

Definition and Scope

1. For the purposes of this Section, a “subsidy” means a measure which fulfils the conditions set out in Article 1 and 2 of the WTO Agreement on Subsidies and Countervailing Measures (hereinafter referred to as the “SCM Agreement”).

2. This Section shall apply to subsidies granted for enterprises supplying goods. This Section shall also apply to subsidies granted for enterprises supplying services as provided in Article 13.10 (Transparency) and Article 13.11 (Consultations).

3. Subsidies to all enterprises, including public and private enterprises, are subject to this Chapter in so far as the application of such rules does not obstruct the performance, in law or in fact, of particular tasks of public interests assigned to them. Any deviation from the application of the rules in this Chapter should be limited to tasks of public interests that have been assigned in a transparent manner.

4. Article 13.11 (Consultations) does not apply to the audio-visual sector.

5. Article 13.11 (Consultations) does not apply to subsidies related to trade in goods covered by Annex 1 of the WTO Agreement on Agriculture and of the WTO Agreement on Fisheries Subsidies[4].

6. This Section does not apply to:

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[3] The term “distort” under this Chapter is distinct from that prescribed under a Party’s law on anti-dumping and countervailing measures. This Article does not preclude a Party from initiating a subsequent anti-dumping or a countervailing measures investigation into the same product, in which the Party shall refrain from using the “distort” condition in this Chapter as a legal basis for such investigation

When the WTO Agreement on Fisheries Subsidies has entered into force for both Parties, and the Committee on Fisheries Subsidies has been established, consultations under Article X.10 (Consultations) shall not apply to subsidies within the scope of the Agreement on Fisheries Subsidies.

a) subsidies granted to compensate the damage caused by natural or man-made disasters, national or global economic emergency or crisis, and non-economic activities;
b) specific subsidies of which amount per beneficiary over a period of 3 years is below 350.000 Special Drawing Rights; or
c) subsidies granted at sub-central level government in Indonesia to enterprises supplying services.

7. Notwithstanding point (c) of paragraph, if the Union considers that it is adversely affected by a subsidy granted at sub-central government level in Indonesia to enterprises supplying services, the EU may request a dialogue with Indonesia on such matters. The requested Party shall endeavour to accord sympathetic consideration to such a request.

Article 13.9

Relation to the WTO Agreement

1. Nothing in this Section shall affect the rights and obligations of either Party under the WTO Agreement.

8. The Parties shall review the issues of disciplines on subsidies related to trade in services in light of any disciplines agreed under Article XV of GATS with a view to their incorporation into this Section after consultations between the Parties.

Article 13.10

Transparency

1. Each Party shall make transparent with respect to any subsidy granted or maintained within its territory with regard to enterprises producing goods:

   (a) the legal basis of the subsidy;
   (b) the form of the subsidy; and
   (c) the amount of the subsidy or the amount budgeted for the subsidy.

2. A Party shall be considered to have met the requirement in paragraph (1) if the subsidy is notified under an applicable WTO agreement or if the information required under paragraph (1) is made available by the Party or on their behalf on a publicly accessible website by 31 December of the calendar year subsequent to the year in which the subsidy was granted or maintained.

3. At the request of the other Party, a Party shall endeavour to provide available information on subsidies granted or maintained to enterprises supplying services within its territory, including:
   (a) the legal basis of the subsidy;
   (b) the form of the subsidy; and
   the amount of the subsidy or the amount budgeted for the subsidy.

Article 13.11

Consultations

1. Notwithstanding the transparency requirements set out in paragraph 1 of Article 13.10 (Transparency), a Party (hereinafter referred to as "requesting Party") may request additional information from the other Party (hereinafter referred to as "responding Party") about a subsidy granted by the responding Party. Such request shall explain the reasons for requesting the additional information. The requested information may concern information which is sufficiently specific to enable a Party to evaluate the trade effects and to understand the operation of the subsidy concerned as foreseen by Article 25 of the SCM Agreement.

2. The responding Party shall provide the information requested pursuant to paragraph 1 to the requesting Party in writing no later than 105 days after the date of notification of the request. If the responding Party does not provide, wholly or partially, the information requested by the requesting Party, the responding Party shall explain the reasons for not providing such information in its written response as required by this paragraph.

3. If, at any time after making a request for additional information pursuant to paragraph 1, the requesting Party considers that a subsidy granted by the responding Party with regard to enterprises producing goods is likely to impact its trade and investment interests, it may express its concern in writing to the responding Party together with an appropriate explanation and request consultations on the matter.

4. Consultations between the Parties to discuss the concerns raised shall be held within 75 days after the date of delivery of the request for consultations unless the Parties agree otherwise

5. The Parties shall attempt to the greatest extent possible to arrive at a mutually satisfactory resolution of the matter.

6. If, at any time, a Party considers that a subsidy granted by the responding other Party with regard to enterprises supplying services is likely to impact its interests, it may express its concern in writing to the responding Party and together with an appropriate explanation request consultations on the matter with a view to arrive at an amicable and mutually satisfactory resolution of the matter.

Any information exclusively obtained or exchanged during consultations and any resolution reached between the Parties as a result of consultations under this Article shall be without prejudice to the rights of the Parties in any further proceedings, and only be used in the framework of this Agreement.

Article 13.12

Use of Subsidies

Each Party shall ensure that enterprises use the subsidies provided by a Party only for the policy objective or purpose for which the subsidies have been granted.[5]

Article 13.13

Dispute Settlement

Chapter 22 (Dispute Settlement) does not apply to this Section.***SECTION C***

STATE-OWNED ENTERPRISES

Article 13.14

Definitions

For the purposes of this Section, the following definitions shall apply:

(a) "state-owned enterprise" means an enterprise including any subsidiary, in which a Party:

(i) directly owns more than 50 per cent of the enterprise's subscribed capital

(ii) controls, directly or indirectly the exercise of more than 50 per cent of the voting rights;

(iii) holds the power to appoint more than half of the members of the enterprise's board of directors or any other equivalent management body; or

(iv) can exercise control[6] over the strategic decisions of the enterprise.

(b) "commercial activities" means activities, the end result of which is the production of a good or supply of a service, which will be sold in the relevant market in quantities and at prices determined by the enterprise and are undertaken with an orientation towards profit-making [7].

(c) "commercial considerations" means price, quality, availability, marketability, transportation and other terms and conditions of purchase or sale; or other factors that would normally be taken into account in the commercial decisions of a privately owned enterprise operating according to market economy principles in the relevant business or industry.

[5] For greater certainty, each Party may have its own means of ensuring such purpose and when a Party has set up the relevant legislative framework and administrative procedures to this effect, the obligation is considered to be fulfilled.

[6] For the establishment of control, all relevant legal and factual elements arrangement shall be taken into account on a case by case basis.

[7] For greater certainty, this excludes activities undertaken by an enterprise for activities which are on: (a) non-profit basis; or (b) cost recovery basis.

(d) "Arrangement" means the Arrangement on Officially Supported Export Credits, developed within the framework of the OECD or a successor undertaking, whether developed within or outside of the OECD framework that has been adopted by at least 12 original WTO Members that were Participants to the Arrangement as of 1 January 1979.

Article 13.15

Scope

1. The Parties confirm their rights and obligations under paragraphs 1 through 3 of Article XVII of the GATT 1994, the Understanding on the Interpretation of Article XVII of the GATT 1994, as well as under paragraphs 1, 2 and 5 of Article VIII of the GATS.

2. This Section applies to state-owned enterprises, engaged in a commercial activity that may potentially affect trade and investment between the Parties. Where they engage both in commercial and non-commercial activities, only the commercial activities are covered by this Section.

3. Article 13.17 (Non-discrimination and Commercial Considerations) does not apply to those activities of state-owned enterprises of a Party for which a Party has taken measures on a temporary basis in response to a national or global economic emergency or in response to a natural disaster, calamity, or food scarcity.

4. This Section does not apply to those activities of state-owned enterprises of a Party which are related to national defence and security.

5. This Section applies to state-owned enterprises at the level of central government in accordance with Annex 14.A (Specific Rules for Indonesia on State-Owned Enterprises).

6. This Section does not apply to situations where state-owned enterprises act as procuring entities conducting procurement for governmental purposes and not with a view to commercial resale or with a view to use in the production of a good or in the supply of a service for commercial sale[8].

7. This Section does not apply to any service supplied in the exercise of governmental authority.

8. This Section does not apply to state-owned enterprises, if in any one of the three previous consecutive fiscal years the annual revenue derived from the commercial activities of the enterprise was less than 200 million SDR.

9. Article 13.17 (Non-discrimination and Commercial Considerations) does not apply to the services sectors which are outside the scope of this Agreement as set out in Article 8.12

[8] This is without prejudice to the commitments made by the Parties in Chapter 11 (Government procurement), including, in particular, in Annex 11 (Market access schedules).

(Scope and Definitions) of Section C (Cross-Border Supply of Services of Chapter 8 (Investment Liberalisation and Trade in Services)

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10. Article 13.17 (Non-discrimination and Commercial Considerations) does not apply to the extent that a state-owned enterprise of a Party makes purchases and sales of services in sectors, which fall outside the scope of liberalisation of that Party pursuant to Article 8.16 (Schedule of Specific Commitments) of Section C (Cross-Border Supply of Services) of Chapter 8 (Investment Liberalisation and Trade in Services)

11. This Section shall apply to Indonesia in accordance with the specific rules set out in Annex 13-C (Specific Rules of Indonesia on State-owned Enterprises).

12. Article 13.17 (Non-discriminatory treatment and commercial considerations) does not apply to the supply of financial services by a state-owned enterprise pursuant to a public service mandate, if that supply of financial services:

(a) supports exports or imports, provided that those financial services are:

(i) not intended to displace commercial financing; or

(ii) offered on terms no more favourable than those that could be obtained for comparable financial services in the commercial market; or

(b) supports private investment outside the territory of the Party, provided that those financial services are:

(i) not intended to displace commercial financing; or

(ii) offered on terms no more favourable than those that could be obtained for comparable financial services in the commercial market; or

(c) is offered on terms consistent with the Arrangement defined in point (d) of Article 13.14 (Definitions), provided that it falls within the scope of that Arrangement.

13. This Section shall apply as from three (3) years after entry into force of this Agreement.

Article 13.16

General provisions

1. Without prejudice to the Parties' rights and obligations under this Section, nothing in this Section prevents the Parties from establishing or maintaining state-owned enterprises.

2. Neither Party shall require or encourage a state-owned enterprise, to act in a manner inconsistent with this Section.

Article 13.17

Non-discriminatory treatment and commercial considerations

1. Each Party shall ensure that its state-owned enterprises, when engaging in commercial activities act in accordance with commercial considerations in their purchases or sales of goods or services except to fulfil any public service mandate that are not inconsistent with subparagraph (2).

2. Each Party shall ensure that its state-owned enterprises, when engaging in commercial activities:

(a) in its purchase of a good or a service

(i) accords to a good or a service supplied by an enterprise of the other Party treatment no less favourable than that which it accords to a like good or a like service supplied by enterprises of the Party; and

(ii) accords to a good or a service supplied by enterprises that are investments of investors of the other Party treatment no less favourable than that which it accords to a like good or a like service supplied by enterprises that are investments of investors of the Party in the relevant market in the Party; and

(b) in its sale of a good or a service:

(i) accords to an enterprise of the other Party treatment no less favourable than that which it accords to enterprises of the Party; and

(ii) accords to enterprises that are investments of investors of the other Party treatment no less favourable than that which it accords to enterprises that are investments of investors of the Party in the relevant market in the Party.

3. Paragraphs 1 and 2 do not preclude state-owned enterprises, from:

(a) purchasing or supplying goods or services on different terms or conditions, including those relating to price provided that such different terms or conditions or refusal is undertaken in accordance with commercial considerations; or

(b) refusing to purchase or supply goods or services, provided that such different terms or conditions or refusal is undertaken in accordance with commercial considerations.

Article 13.18

Regulatory framework

1. The Parties shall endeavour to make best use of relevant international best practices in governing state-owned enterprises inter alia, the OECD Guidelines on Corporate Governance of State-Owned Enterprises.

2. Each Party shall ensure that any body exercising a regulatory function that it establishes or maintains

   (a) is independent from and not accountable to any of the enterprises that it regulates, and

   (b) acts impartially[9] in like circumstances with respect to all enterprises that it regulates, including in like circumstances with respect to all enterprises regulated by that body, including state-owned enterprises.[10]

3. Each Party shall ensure the enforcement of laws and regulations to state-owned enterprises in a consistent and non-discriminatory manner.

Article 13.19

Exchange of information

1. A Party which has reason to believe that its interests under this Section are being adversely affected by the commercial activities of a state-owned enterprise of the other Party, and subject to the scope of this Section as defined in Article 13.15 (Scope) may request the other Party in writing to supply information about the commercial activities of such state-owned enterprise related to the carrying out of the provisions of this Section.

2. The requested Party shall provide the following information, provided that the request includes an explanation of how the activities of a state-owned enterprise may be affecting the interests of the requesting Party under this Section and indicates which of the following information shall be provided:[11]

   (a) the ownership and the voting structure of such state-owned enterprise, indicating the percentage of shares and the percentage of voting rights that a Party, its state-owned enterprises, cumulatively own, and the percentage of voting rights that they cumulatively hold, in the state-owned enterprise;

[9] For greater certainty, the impartiality with which the regulatory body exercises its regulatory functions is to be assessed by reference to a general pattern or practice of that regulatory body.

[10] For greater certainty, for those sectors in which the Parties have agreed to specific obligations relating to the regulatory body in other Chapters, the relevant provision in the other Chapters as set out in this Agreement shall prevail.

[11] For greater certainty, in the event that the specified information has been published, the obligation of a Party is considered to be fulfilled.

(b) a description of any special shares or special voting or other rights that a Party, its state-owned enterprises hold, where such rights differ from the rights attached to the general common shares of such state-owned enterprise;

(c) a description of the organisational structure of the enterprise, the composition of its board of directors or of an equivalent management body; and cross-holdings and other links with other state-owned enterprises;

(d) information regarding which government departments or public bodies regulate and/or monitor the state-owned enterprises, description of the reporting requirements imposed on it by those departments or public bodies, and the rights and practices of the government or any public bodies in the appointment, dismissal or remuneration of leading officials, members of its board of directors, commissioners, or any other equivalent management body;

(e) annual revenue over the most recent 3-year period of a state-owned enterprise;

(f) any exemptions, immunities and related measures from which a state-owned enterprise benefits under the laws and regulations of the requested Party;

(g) any additional information regarding a state-owned enterprise that is publicly available, including annual financial reports and third-party audits.

3. If the requested information is not available to the Party, that Party shall provide the reasons for this in writing to the other Party who requested the information.

Article 13.20

Technical Consultation

1. The Parties shall seek to resolve any concerns arising from the implementation of this Section through technical consultations pursuant to this Article prior to initiating dispute settlement pursuant to Chapter 22 (Dispute settlement). The technical consultations shall endeavour to arrive at mutually satisfactory resolution of the concerns[12].

2. For the purposes of paragraph 1, any Party may make a request to the other Party to hold technical consultations.

The request shall be made in writing[13] and identify:

[12] For greater certainty, technical consultations pursuant to this Article shall not replace consultations under Article [X (Consultations) of Chapter 22 (Dispute Settlement), unless the Parties agree otherwise.

[13] For greater certainty, nothing in this Article limits the mode of delivery of such a request in writing. In the case the request is sent by electronic means, the requested Party shall promptly confirm the receipt of such a request and no later than within 14 calendar days of receipt.

(a) the matter or measure at issue;

(b) provisions of this Section to which the concerns are related to; and

(c) the reasons for the request, including a description of the requesting Party's concerns regarding the measures or matters.

3. At the request of either Party, the Parties shall meet to discuss the concerns raised in the request, in person or by any technological means available to the Parties. If the meeting is held in person, it shall be held in the capital of the requested Party, unless the Parties agree otherwise.

4. The Parties shall endeavour to resolve the matter as expeditiously as possible within 60 calendar days from the date of receipt of the request. If the requesting Party believes that the matter is urgent and require immediate settlement, it may request a shorter time frame. In such cases, the requested Party shall give positive consideration to such request.

5. A Party may request or exchange further information relevant to paragraph 2, and the information obtained or communications between the Parties under this Article shall be confidential unless the Parties agreed otherwise.

6. Any resolution reached between the Parties as a result of technical consultations under this Article shall be notified to the Trade Committee and shall be without prejudice to the rights of the parties in any further proceedings, and only be used in the framework of this agreement.